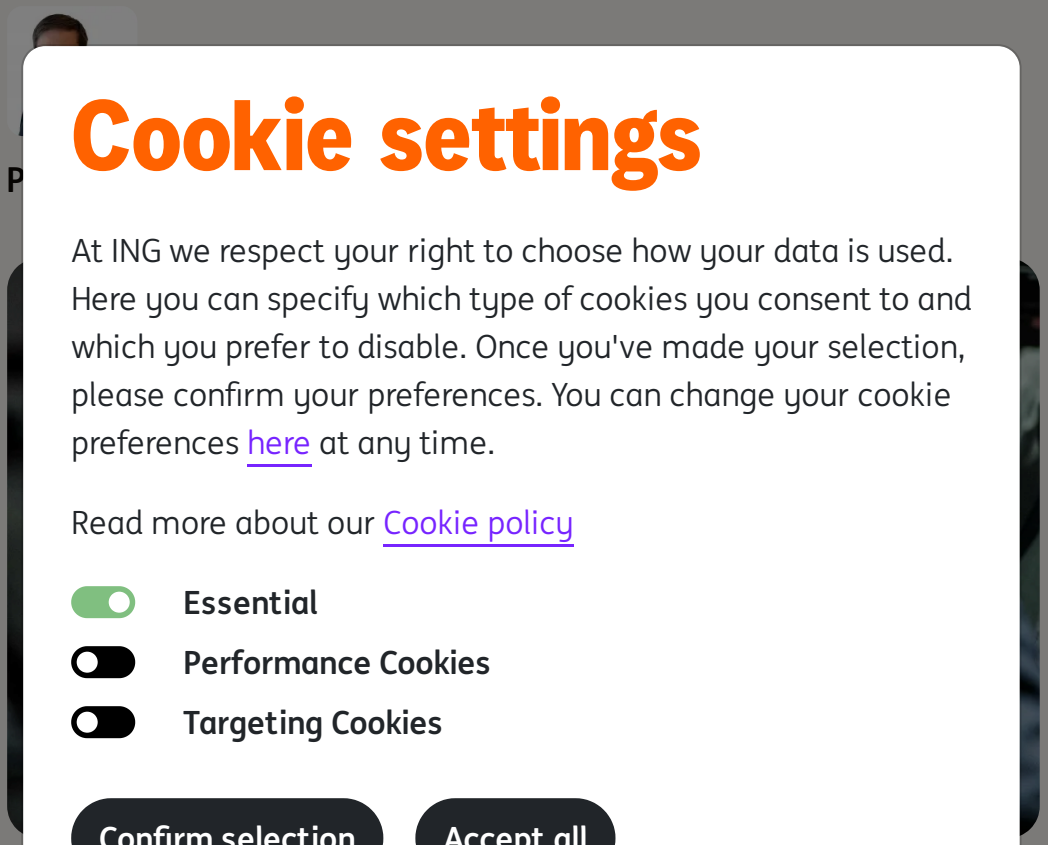
Belgium's budget talks have hit a wall, but the crisis is not yet at a dead end. A deal on €10 billion in savings remains our base case, though political red lines need to soften. A watered-down compromise would leave debt risks unresolved, while a government collapse could put investor confidence under pressure



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For several weeks, parties in the Belgian federal government have been trying to agree on the main budget measures for the next three years. The aim is to reach an agreement delivering €10 billion in recurring savings in the federal budget (which also includes social security). This would not only offset the automatic increase in expenditure linked to population ageing and interest payments on the debt, but also reduce the deficit from around 5% of GDP this year to close to 4% of GDP in 2029.

However, last weekend, Prime Minister Bart De Wever had to acknowledge that the negotiations had failed on two fronts. First, given the time needed for parliament to debate and vote on the legislation, it will no longer be possible to start 2027 with a duly approved budget. Second, there are too many sticking points for a political agreement to be reached at this stage.

What are the sticking points?

Specifically, the negotiations have been complicated by the withdrawal of a key proposal from the Prime Minister. He had proposed an across-the-board increase in the VAT rate, which would h
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The government remains in office for now

Faced with the parties' conflicting red lines and difficulties in the negotiations, De Wever drew the consequences and tendered his resignation to the King on Monday. To the outside world, this could seem like the fall of the government – but some perspective is needed.

First, King Philippe has not yet accepted the Prime Minister's resignation. While he does not exercise personal political authority, he can play an important consultative role at moments of political uncertainty. He has deferred his decision until Friday. In the

meantime, the King will meet the leaders of the federal coalition parties to hear their views and call for a compromise.

Second, by offering his resignation, the Prime Minister probably wants to send a clear signal to the other parties, warning them that the price of failed negotiations would be very high. Indeed, the latest opinion polls show that, if new elections were held, the parties forming the current majority would not be able to renew it. The far right would very likely gain ground in the Flemish part of the country, as would the far left in the French-speaking part. This is also a signal to voters across the coalition parties. Their party will have to accept measures that run counter to its programme, but t
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ruled out. Our base case nevertheless remains that, following this week's consultations and discussions between the parties, more time will be granted to reach an agreement on the €10bn in savings over the next three years. After this week's political shock, an agreement would ultimately be reached. It would be too late to start 2027 with a budget approved by parliament, but the damage would be relatively limited. A mechanism exists to temporarily "extend" the 2026 budget until the 2027 budget is duly approved.

If the parties fail to reach an agreement, there are two alternative scenarios:

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1. The parties manage to reach a minimal agreement on a budget for 2027, involving a smaller fiscal effort of around €3-4 billion (the Prime Minister had already proposed this option), abandoning a multi-year planned effort. However, even if the government commits to continuing discussions for subsequent years, it will be difficult to go much further. The government would then remain in office, but the effort needed to put public finances on a sound footing and make the debt trajectory sustainable would not be delivered in the short term. Belgium would gain some breathing space but would remain exposed to the risk of weaker investor confidence.

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